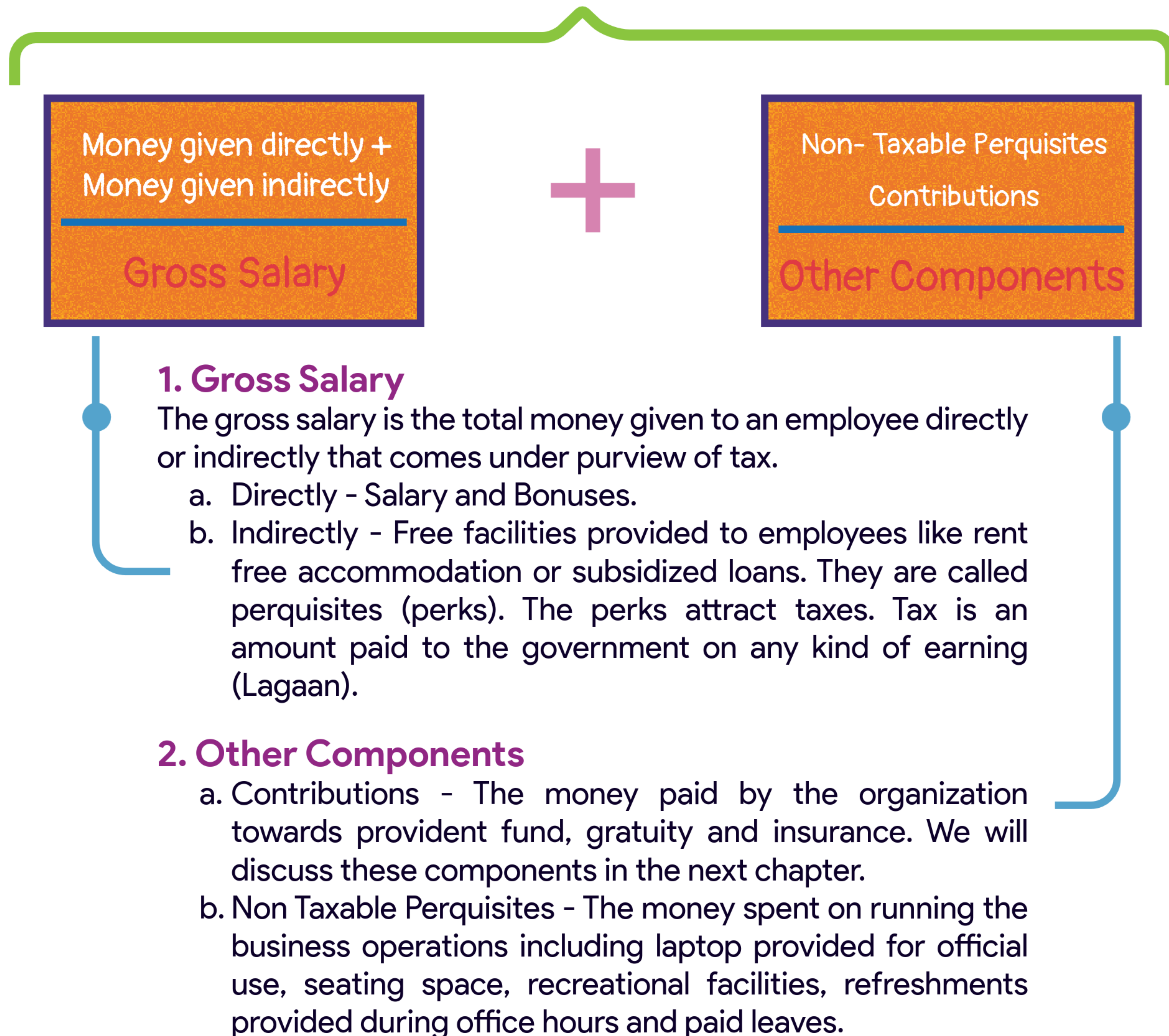


Cost to Company (CTC)

CTC is the total cost incurred by an organization on an employee. The components of CTC may vary from one organization to another. The components of CTC are:

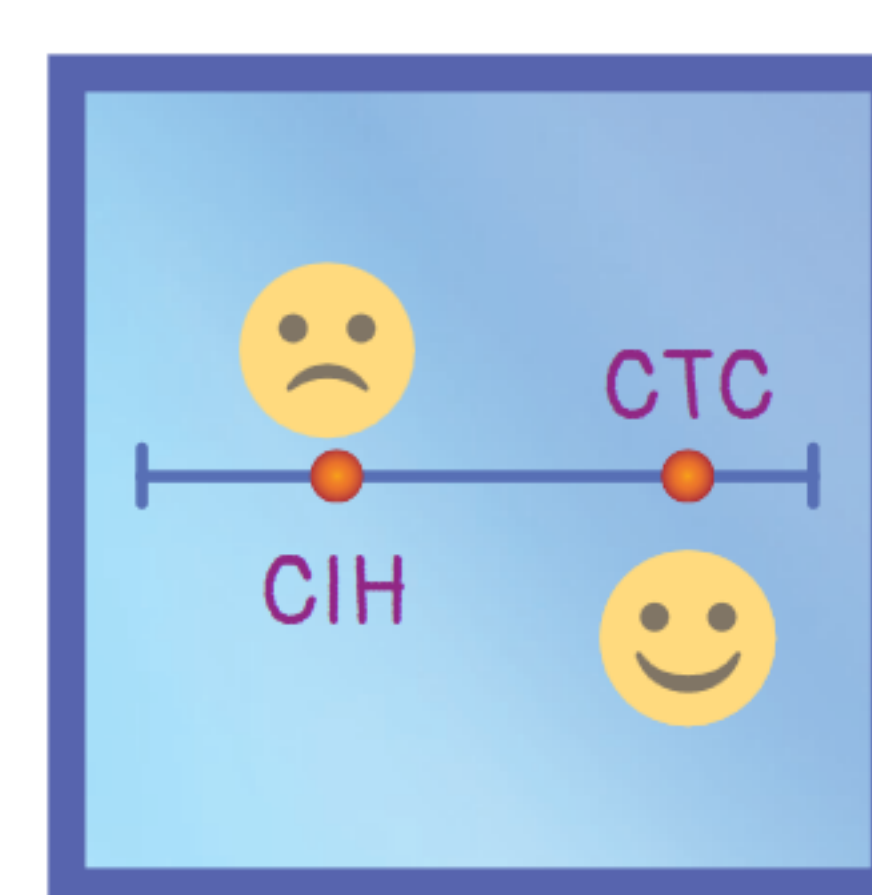


You may calculate the total cost to the company on an employee for preparing the HR budget. However, you should be cautious about the number of “other components” you want to add in the CTC for two reasons



Commitment

Any amount shown in CTC becomes part of an employee contract. If you put the amount spent on office space in the CTC. In case you shift to remote working, the employee will have the right to ask for the money shown under office space.



Expectation Gap

The employee must not get disappointed and lose interest in work due to the huge gap between the CTC and “Cash in Hand”.